

heroic acts, and those whom you saw trying to give you the impression that they were performing heroic acts. The latter category includes someone like the New York Stock Exchange chairman Richard Grasso, who “saved the stock exchange” and received a huge bonus for his contribution (the equivalent of several *thousand* average salaries). All he had to do was be there to ring the opening bell on television—the television that, we will see, is the carrier of unfairness and a major cause of Black Swan blindness.

Who gets rewarded, the central banker who avoids a recession or the one who comes to “correct” his predecessors’ faults and happens to be there during some economic recovery? Who is more valuable, the politician who avoids a war or the one who starts a new one (and is lucky enough to win)?

It is the same logic reversal we saw earlier with the value of what we don’t know; everybody knows that you need more prevention than treatment, but few reward acts of prevention. We glorify those who left their names in history books at the expense of those contributors about whom our books are silent. We humans are not just a superficial race (this may be curable to some extent); we are a very unfair one.

LIFE IS VERY UNUSUAL

This is a book about uncertainty; to this author, the rare event *equals* uncertainty. This may seem like a strong statement—that we need to principally study the rare and extreme events in order to figure out common ones—but I will make myself clear as follows. There are two possible ways to approach phenomena. The first is to rule out the extraordinary and focus on the “normal.” The examiner leaves aside “outliers” and studies ordinary cases. The second approach is to consider that in order to understand a phenomenon, one needs first to consider the extremes—particularly if, like the Black Swan, they carry an extraordinary cumulative effect.

I don’t particularly care about the usual. If you want to get an idea of a friend’s temperament, ethics, and personal elegance, you need to look at him under the tests of severe circumstances, not under the regular rosy glow of daily life. Can you assess the danger a criminal poses by examining only what he does on an *ordinary* day? Can we understand health without considering wild diseases and epidemics? Indeed the normal is often irrelevant.

Almost everything in social life is produced by rare but consequential shocks and jumps; all the while almost everything studied about social